



Analyzing Business Performance

You need to keep checks on which parts of your start-up are working as you had hoped they would and which are not. Using key performance indicators (KPIs) gives you helpful snapshots of your business in action.

Understanding KPIs

KPIs are targets that you set for crucial business areas, such as marketing, sales, and finance, and against which you check progress regularly (weekly, monthly, or quarterly). Set your KPIs carefully.

Too many KPIs—or poorly chosen ones—will overwhelm you with unhelpful data. Ideally, start with a small number that relate directly to your business plan and the aspects most likely to bring success. Communicate your KPIs to your

employees, perhaps displaying them as a “dashboard” (see below). Clearly defining KPIs and how they will be measured—whether as quantities or as ratios or percentages—will ensure that everyone understands them.

The KPI dashboard

When sharing the KPIs for your business, the best way is to display them graphically. You can either do this manually but drawing a simple chart or even just write them as percentages on a poster. Alternatively, make use of free online software to create digital “dashboard”. However you present your KPIs, use them as a tool to motivate yourself and your staff by highlighting areas of success and where improvements are required.

Marketing

- **Company website** The level of traffic
- **Internet** Keywords in top 10 search results
- **Social media** Levels of sharing, liking, and retweeting of posts
- **Email campaigns** Percentage of customers responding and buying goods
- **Advertising** Units sold per \$1,000 investment



Sales

- **Customer lifetime value** Total amount of money generated by the average customer
- **Upselling** Percentage of product buyers who also take a service package
- **Conversion time** How long it takes to close a sale
- **Regional sales** What is selling where and in what quantity



Customer satisfaction

- **Turnover** Proportion of customers making repeat sales or continuing a service
- **Website** New visits to a site versus repeat visits
- **Feedback** Percentage of high-scoring customer reviews
- **Complaints** Ratio of complaints to number of customers

